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MBA (3rd Semester)

Examination, Nov.- Dec., 2012

Branch : Management

ADVERTISING AND SALES PROMOTION (NEW)

Time Allowed : Three Hours

Maximum Marks : 80

Minimum Pass Marks : 32

Note : There are five questions in this paper. Questions V is compulsory. Question I to IV are divided into four parts. Part 'a' is compulsory. Attempt any two from Part 'b', 'c' and 'd'

Q. 1. (a) Define Advertising and explain in brief its main features. 2

(b) Explain the concept of integrated marketing communication in the brand building Process. 7

(c) Discuss the roles of different communication mix in the integrated marketing communication program. 7

(d) Explain the significance of marketing planning and decision framework in the integrated marketing communication program. 7

Q. 2. (a) Discuss in brief the AIDA communication model. 2

(b) Discuss in detail the objective of budget setting. Explain any 2 methods of budget setting. 7

(c) Discuss the role marketing communication in the consumer buying process. What are the factors affecting buyer purchase behavior ? 7

(d) Discuss the basic elements of communication process. Explain in brief the DAGMAR model of marketing communication. 7

Q. 3. (a) What are the different media's to be used in ATL activities in the marketing communication program ? Which media is impactful ? 2

(b) Discuss the concept of media planning and strategies adopted by marketers to persuade consumers ? 7

(c) Explain the role of sales promotion in the company's integrated marketing communication program. 7

(d) Discuss the role of internet and interactive media in the integrated marketing communication program. 7

Q. 4. (a) Discuss the difference between PR & Publicity. 2

(b) Discuss the methods of measuring promotional program effectiveness. 7

(c) Discuss the various international factors influencing the advertising and promotional decisions. 7

(d) Discuss the role of PR, Publicity and corporate advertising in the promotional mix. 7

Q. 5. Presented below is the case. Analyze the case and answer the questions that follow. 16

INTERNET COFFEE SHOP MARKETING PLAN

JavaNet just opened its doors for business a little over a month ago. Business is good, and

customers have been impressed with our offerings, but we need to focus our efforts on implementing the strategies, programs, and tactics outlined in the original business plan.

Differentiating ourselves from other more traditional cafes has given us the ability to effectively compete on the beverage and pastry side of the business with the already entrenched competition. Sales are brisk and in-line with projections. The internet services side of the business is rapidly being accepted by the local

community. Memberships are meeting the projections outlined in the business plan, and sales of Internet services are meeting the goals forecast. Students love to gather for late-night sessions, nearby seniors are getting a glimpse of what the internet offer, and local business people love to stop by for a quick bite and an email check.

Market Summary

Java Net is faced with the exciting opportunity of being the first-mover in the local cyber-cafe

market. The consistent popularity of coffee, combined with the growing interest in the internet, has been proven to be a winning concept in other markets and will produce the same results here. All three target market for the Java Net service are growing at a relatively fast pace. We are faced with a large number of potential customers, and we're offering a needed service.

- University students continue to grow at a steady pace, at nearly 4%.
- Office workers in the downtown area and nearby professional buildings continue to add value, growing at 3%.
- Seniors are becoming an important part of downtown business, growing at almost 6%.
- Teens continue to play a major role in downtown foot-traffic, growing at 2%.

Market Demographics

Java Net's customers can be divided into two groups. The first group is familiar with the Internet and desires a progressive and inviting atmosphere where they can get out of their offices or homes to enjoy a great cup of coffee and internet access. This group is made up of students from the University of Oregon and business people from nearby downtown offices and professional centers.

The second group is not as familiar with the internet. This group is made up of seniors from the downtown retirement centers. There are three large retirement centers in the downtown area, and currently none of them offer internet access to their residents. Seniors represent a growing segment of internet users. They use the internet to communicate with friends and family and they will be regular users of the JavaNet service.

Market Analysis

Potential Customers	Growth in %age	2001	2002	2003	2004	2005	CAGR
University Students	4	10,000	10,400	10,816	11,249	11,699	4
Office Workers	3	20,000	20,600	21,218	21,855	22,511	3
Seniors	6	3,000	3,180	3,371	3,573	3,787	6.5
Total	3.59	33,000	3,480	35,405	36,677	37,997	3.59

Market Needs

- Factors, such as addiction, and historical sales data ensure that the high demand for coffee will remain constant over the next five years.
- The rapid growth of the internet and online services that has been witnessed worldwide

is only the beginning of a long-lived trend towards an economy built on the infrastructure of the internet. The potential growth of the internet is enormous, to the point where one day, a computer terminal with an online connection will be as common and necessary as a telephone or toilet.

- This may be 5 or 10 years down the road, but for the next five years, the online service provider market is sure to experience

tremendous growth. Establishing itself as the first cyber-cafe in the area, JavaNet will enjoy the first-mover advantages of name recognition and customer loyalty.

- Initially, JavaNet will hold a 100 percent share of the cyber-cafe market locally in the next five years, competitors will enter the market. JavaNet has set a goal to consistently maintain a market share of greater than fifty percent.

Market Trends

The Internet has become a point of conversation in almost all social groups. People are talking about sites they visited, business people are talking about internet-based businesses, and kids are talking about the latest Internet clubs and chat rooms. People like to communicate their Internet experience with their friends, colleagues, and family. However, it can be difficult to do it in front of a computer terminal at

the office or in the family study. A comfortable place to gather and share these experiences is becoming a real need.

Java Net Will Provide

- A meeting place for business people interested in sharing their internet-based business ideas.
- A social hub for students and young people interested in sharing a beverage and their Internet experiences with friends.

- A place for nearby seniors to gather and learn about the powers of the internet and better communication methods.
- A stopping point for travelers in need of an Internet connection.
- A market survey was conducted in the Fall of 1998. Key questions were asked to fifty potential customers. Some key findings include :
- 35 subjects said they would be willing to pay for access to the internet.

- $2.50 an hour was the most popular hourly internet fee.
- 24 subjects use the Internet to communicate with others on a regular basis.

Market Growth

The market for the services JavaNet will offer is growing repidly. The cyber-cafe hasn't come to this area yet, but similar services are growing repidly on a global scale. Large cities that cater to large numbers of travelling business people

and tourists have been saturated with businesses offering the services JavaNet will offer. Business people use the Internet serivces to catch up on email and communications with their family, and tourists do the same. Our area supports a population that has many of the same needs and interests of this larger group.

The student population continues to grow as the University grows in popularity with high-school graduates from out of state. These students tend

to have money and an interest in up-scale social centers. Business in the downtown area is on the rise with the coming completion of the renovated Fifth Street Market and the new Compu-tech facility. JavaNet will target these groups with radio and TV spots on local stations.

Attempt any four of the following questions. Each question carries 4 marks

(a) Discuss the situation analysis given in the case of Cafe Java net.

(b) What are the challenges currently and in the future with the cafe Java net ?

(c) What kind of advertisement and promotion program they have to adopt in order to cope up with the current and future market scenario ?

(d) Will the popularity of the internet continue to grow, or is the Internet a fad ? Will individuals be willing to pay for the services JavaNet offers ?

(e) The risks involved for JavaNet are : Will there be a continuing demand for the services offered by JavaNet ? Comment.